

they ran short of money. If they needed something, such as a washing machine or a new roof, they saved for it. But they also bought many items with installment loans. They never owned any stocks or bonds. Never did Teddy's parents set aside income for investment purposes. They did not understand or trust the stock market. The only real financial wealth the couple had was a small pension and the equity in their very modest home.

Today their son has a need to compensate for his "primitive blue-collar" background and his perceived educational deficiency. Mr. Friend never completed college. Even now he feels compelled to outperform all the college graduates against whom he competes. He will tell you that he enjoys dressing better, driving better, dwelling better, and, in general, living higher than all those "college kids" who operate within his territory.

Mr. Friend is the ultimate consumer. He has two boats, one jet ski, and six automobiles (two are leased; the others were purchased via credit). Interestingly, there are only three drivers in his household. He is a member of two country clubs and wears a watch that cost more than \$5,000. He buys his clothes from the best stores. Mr. Friend also "owns" a vacation condo.

Last year Mr. Friend's income was approximately \$221,000. Given his age, forty-eight, what is his expected net worth? According to our wealth equation, his net worth should be \$1,060,800 (expected wealth = one-tenth age x total annual income). What is his real net worth? Less than one-fourth of the expected figure.

How is it possible that Mr. Friend has an actual net worth that is less than one-fourth of the expected value? The answer lies in how Mr. Friend thinks. Wealth accumulation is not what motivates him. Interestingly, Mr. Friend firmly believes that if he were really wealthy he would not be a top-income generator. He has often stated that people who come from wealthy backgrounds have little motivation to excel in the workplace.

Mr. Friend has found a method to sustain and even enhance his drive to perform at high levels. He has found that fear is a great motivator. So he buys more and more via credit. By increasing the amount he owes, he correspondingly increases the accountant's fear of default. In turn, this increasing level of debt-based fear encourages him to work harder and more aggressively. To him, a big home is a reminder of a big mortgage and the need to perform at a high level.